Blackbaud Inc (BLKB) — Research Summary

Technology | Software - Application | 2026-10-13

Price: $48.06	**Signal:** BUY (7.51/10)	**Market:** bull_tech

Blackbaud Inc (BLKB) — Equity Research Summary

Sector: Technology (Application Software) | **Price:** $48.06 | **Market Cap:** $2.1B | **52-Week Range:** $25.58–$70.71

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1. COMPANY OVERVIEW & INVESTMENT THESIS

Blackbaud is a leading provider of cloud software for nonprofits, foundations, educational institutions, and other social-impact organizations, offering tools for fundraising, financial management, and donor engagement. The company serves a sticky, mission-driven customer base that generates recurring, subscription-based revenue. With shares trading well below their 52-week high and a notably low forward valuation, Blackbaud offers an attractive entry point into a durable niche software franchise.

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2. FUNDAMENTAL SNAPSHOT

Valuation: Blackbaud trades at a trailing P/E of **14.6x** and an especially low forward P/E of **7.7x**, suggesting the market expects meaningful earnings growth ahead. Its EV/EBITDA sits near **10x** (EV of $3.1B against ~$0.3B EBITDA), and its price-to-sales of **1.85x** is modest for a software company. These metrics are generally below typical application-software sector averages, implying the stock is priced conservatively.

Earnings Trend: The company has beaten analyst estimates in each of the last four quarters, including a +5.1% beat in the most recent quarter (EPS $0.83 vs. $0.79). This consistent track record signals reliable execution and disciplined cost management.

Revenue & Margins: Top-line growth is essentially flat, with recent quarterly revenue down **-1.6% year-over-year** and the prior quarter roughly unchanged. However, profitability is improving: gross margins run **~59–61%**, and operating margins expanded to **21.3%** in the latest quarter from 18.3% the quarter prior. The overall profit margin stands at **13.1%**. The story here is margin expansion and earnings quality rather than rapid growth.

Balance Sheet: Blackbaud carries **$1.2B in total debt** against minimal cash, leaving it in a net-debt position with a high debt-to-equity ratio. This is the primary area of caution and warrants monitoring, though stable cash generation supports servicing.

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3. TECHNICAL OUTLOOK

At $48.06, Blackbaud sits roughly in the **middle of its 52-week range** ($25.58–$70.71) — well off its lows but with substantial room to recover toward prior highs. The stock has rebounded strongly from its bottom, suggesting momentum has been building after a period of weakness.

Key levels to watch: Support can be expected in the low-to-mid $40s, with deeper support toward the mid-$30s. On the upside, resistance likely emerges near the $55–$60 zone, followed by the 52-week high around $70. A beta near **1.04** means the stock tends to move roughly in line with the broader market.

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4. NEWS & SENTIMENT

Overall Sentiment: Slightly Bullish

No major company-specific news flow is available for the current period, so the narrative is driven primarily by fundamentals. Key themes:

- **Margin-led earnings story:** With revenue flat, the market is focused on Blackbaud's ability to grow profits through operational efficiency — a trend it has delivered on consistently.
- **Valuation reset:** The steep discount of forward earnings versus trailing earnings reflects expectations that profitability will continue to improve.
- **Mixed analyst view:** Coverage is balanced (2 Buy, 2 Hold, 0 Sell) with a price target of **$52**, implying modest **+7.2% upside**. The absence of Sell ratings reflects confidence in the company's stability even amid sluggish growth.

The prevailing narrative is that Blackbaud is a defensive, cash-generative software business that is modestly undervalued, with debt reduction and margin gains as the path to re-rating.

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5. BOTTOM LINE

Aerondight Systems Signal: BUY (7.51/10)

- **Thesis:** A reliably profitable niche software leader trading at an attractive forward valuation, with earnings momentum and margin expansion offsetting flat revenue growth.
- **Key Upcoming Catalyst:** The next quarterly earnings report — continued earnings beats and evidence of returning revenue growth could trigger a re-rating toward analyst targets.
- **Risk Level: Medium** — Flat top-line growth and a leveraged balance sheet temper the attractive valuation and consistent earnings execution.

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